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Japan Q&A – geopolitical uncertainty in the Middle East: closer coordination between the government and the BoJ becomes essential

- **Amid continued uncertainty in the Middle East, what are the implications for the economy and prices?**
- **How would a slowdown in economic growth affect momentum for wage increases?**
- **Why has a gap emerged between the government and the BoJ?**
- **Is it natural for the government to seek coordination with the BoJ?**
- **How will the government deal with the weak JPY?**
- **What is the dual mandate the government imposes on the BoJ?**

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Question 1: *At this week's Monetary Policy Meeting, the BoJ decided to keep the policy rate unchanged at 0.75%. With tensions in the Middle East ongoing, it judged that it would need to assess the impact of surging oil prices on the economy and prices. This marks the third consecutive meeting with no change. Of the nine Policy Board members, three advocated a rate hike, but the proposal was rejected by a majority vote. How do you view the impact of continued uncertainty in the Middle East on the economy and prices?*

Our view: A significant rise in oil prices would result in a large outflow of income from Japan to overseas, increasing the risk of a substantial downside to real GDP growth. The BoJ has revised down its real GDP growth forecast from +1.0% to +0.5%. It should be noted that the BoJ's outlook is based on an optimistic assumption: that tensions in the Middle East would ease, oil prices would decline and major supply chain disruptions would not materialise. If this assumption proves incorrect, the real GDP growth forecast would be revised further downward, raising the risk that economic growth would stall.

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Question 2: *The BoJ has identified developments in the Middle East as a key risk factor, noting the need to closely monitor their impact on financial and FX markets, as well as Japan's economy and prices. It revised down its real GDP growth outlook for FY26 from +1.0% to +0.5%, and for FY27 from +0.8% to +0.7%. It also expects higher oil prices to worsen the terms of trade, thereby weighing on corporate profits and households' real income. How would a slowdown in economic growth affect momentum for wage increases?*

Our view: Japan's potential growth rate is estimated at around +0.5%. The BoJ expects real GDP growth in FY26 to remain roughly in line with potential and to recover slightly above it in FY27. However, if the optimistic assumptions break down and growth is revised further downward, the economy would fall below potential growth for two consecutive years, effectively entering a downturn. In that case, the momentum for wage increases that has been building would likely be adversely affected.

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Question 3: *Prime Minister Sanae Takaichi, speaking at a Labour Day event organised by Rengo, emphasised that the government would ensure conditions for wage increases and called for cooperation to achieve sustained wage growth exceeding inflation. The administration advocates "proactive public finance" and aims to build a strong economy through investment, and therefore remains cautious about early rate hikes. Meanwhile, the BoJ had been preparing the* *groundwork for rate hikes, but ultimately decided to hold policy steady due to ongoing geopolitical uncertainty. Why has such a gap emerged?*

Our view: The Takaichi administration has effectively imposed a dual mandate on the BoJ, emphasising the importance of conducting monetary policy in a manner consistent with achieving both "strong economic growth" and "stable price increases." This new dual mandate has received little media attention. Previous administrations had imposed only a single mandate – "stable price increases". While the BoJ believes that stable inflation would lead to sustained growth, the current situation does not provide a clear outlook for "strong economic growth" in our view. Furthermore, although rising oil prices have led the BoJ to revise up its inflation forecast, it remains within the 2% range consistent with "stable price increases." Taking into account the risk of negative effects on wage momentum and the need to balance growth with price stability, the BoJ appears to have decided to maintain its current policy stance.

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Question 4: *It is said that pressure from the Takaichi administration, which is cautious about early rate hikes, also contributed to the BoJ's hesitation. As the "guardian of price stability," the BoJ's independence is crucial and maintaining an appropriate distance from politics has long been a challenge. Nevertheless, is it natural for the government to seek coordination with the BoJ?*

Our view: The Takaichi administration places importance on Article 4 of the BoJ Act, which calls for monetary policy to be conducted in a manner consistent with the government's basic economic policy stance. Therefore, the government seeking coordination with the BoJ to achieve both "strong economic growth" and "stable price increases" does not contradict the BoJ's independence. In fact, the Federal Reserve in the US is tasked not only with price stability but also with maximising employment. What central banks possess is independence over the instruments of monetary policy to achieve their mandates – not independence in setting those mandates themselves.

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Question 5: *With inflation concerns rising due to higher oil prices, central banks would typically raise interest rates to curb economic activity by increasing financing costs. Regarding such rate hikes, Minister of Economy, Trade and Industry Ryosei Akazawa stated on a programme that raising rates could be "one option" to curb JPY depreciation. However, Prime Minister Takaichi reportedly called him aside and admonished him after a Council on Economic and Fiscal Policy meeting. How do you view this?*

Our view: With proactive fiscal policy expanding the size of the economy and the current level of JPY depreciation, Japan's capital expenditure cycle has begun to turn upward. Sanaenomics aims to further accelerate this cycle through strategic public-private investment and an accommodative monetary environment, restoring firms from an abnormal investment shortfall to a normal state of investment surplus and enabling a complete exit from economic stagnation. As long as the capex cycle is strengthening, expectations of expanding future supply capacity would persist, helping to prevent extreme JPY depreciation. Such extreme currency weakness tends to arise when future supply capacity is expected to deteriorate. Once investment-driven expansion in supply capacity begins, the trend would shift from JPY depreciation to appreciation. If the BoJ were to react prematurely to current JPY weakness by raising rates and thereby stalling the capex cycle, it would heighten the risk of future supply capacity deterioration, potentially triggering extreme JPY depreciation in the future. It can also be argued that the excessive JPY strength prior to Abenomics led to underinvestment and erosion of supply capacity, which in turn contributed to the current JPY weakness. Differences between short-term and long-term perspectives are what make economic policy responses difficult to communicate in our view.

While a weaker JPY is a tailwind for domestic investment, an excessively JPY could increase costs and place a greater burden on households. A USD/JPY weaker than 160 would likely be addressed through aggressive currency intervention by the Ministry of Finance, rather than by the BoJ raising rates, which would risk disrupting the capex cycle. In fact, it is believed that intervention occurred on 30 April. Japan's FX reserves are enormous, exceeding 30% of GDP, three times that of the Eurozone (around 10%). Currency intervention can be justified by returning FX reserves to an appropriate level. This would involve selling foreign currency assets purchased during past periods of JPY appreciation, resulting in substantial realised gains. These gains could also be used as a source of funds for returning benefits to households through proactive fiscal policies, including a reduction in the consumption tax rate. The Ministry of Finance is expected to maintain its stance on currency intervention until the expansion of supply capacity due to increased investment shifts the trend from a weaker to a stronger JPY.

Question 6: *The government has effectively imposed a dual mandate on the BoJ, stating that "it is extremely important that monetary policy be conducted appropriately to achieve both 'strong economic growth' and 'stable price increases.'" At the April Monetary Policy Meeting, why did three Policy Board members vote against maintaining the current policy?*

Our view: In its April Outlook Report, the BoJ revised down its forecast for real GDP growth for FY26, while revising up its inflation forecast. Real GDP growth is now projected at +0.5%, roughly in line with the potential growth rate, and therefore can no longer be described as "strong economic growth." Inflation is in the 2% range, which can be regarded as consistent with "stable price increases."

However, the Tokyo core CPI (excluding fresh food and energy) rose only +0.9% YoY in April, which is very weak and well below the 2% price stability target, reflecting weak domestic demand. Industrial production declined by -0.5% MoM in March, and the METI forecast index for April (after error adjustment) also fell by -0.7%. There is now a risk of a significant drop in production in Q2.

Amid heightened uncertainty stemming from geopolitical risks, the BoJ would likely continue maintaining its current monetary policy stance. At the April meeting, while the executive members—who are more conscious of coordination with the government—supported maintaining the current policy, three Policy Board members with little connection to the government opposed it.

In terms of the risk balance, the assessment that "downside risks to the economic outlook and upside risks to the price outlook are greater" effectively forced policymakers to take the dual mandate into account. Meanwhile, the additional remark that "due attention needs to be paid to the risk that inflation could overshoot significantly and adversely affect the economy thereafter" would simply reflect the views of the dissenting members.

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Note: The content is a personal opinion and does not necessarily reflect the government's view.

Japan economic update

Japan		Q125	Q225	Q325	Q425	Q126f	Q226f	Q326f	Q426f	Q127f	Q227f	Q327f	Q427f	CY25	CY26f	CY27f	CY28f
Real GDP	qoq%	0.3	0.6	-0.7	0.3	0.3	0.1	0.1	0.1	0.2	0.3	0.4	0.4				
	qoq ann.%	1.1	2.4	-2.6	1.3	1.2	0.4	0.5	0.6	1.0	1.3	1.5	1.5				
	yoy%	1.6	2.0	0.7	0.5	0.6	0.1	0.9	0.7	0.6	0.8	1.1	1.3	1.2	0.5	1.0	1.5
Private consumption	qoq%	0.7	0.2	0.5	0.3	0.1	0.0	0.1	0.1	0.2	0.2	0.3	0.3	1.5	0.7	0.7	1.4
Residential investments	qoq%	-0.2	0.0	-8.4	4.9	2.0	0.5	0.5	0.4	0.4	0.4	0.4	0.4	-2.4	1.8	1.7	1.6
Non-residential investments	qoq%	0.5	1.2	-0.0	1.3	0.3	0.2	0.2	0.4	0.5	0.6	0.6	0.6	1.9	1.9	1.9	2.2
Public investments	qoq%	-0.1	0.2	-1.3	-0.5	0.8	0.3	0.3	0.3	0.3	0.4	0.4	0.4	-0.3	0.3	1.4	1.6
Net trade	pp	-0.5	0.1	-0.2	-0.0	-0.1	-0.1	-0.1	-0.1	-0.0	-0.0	-0.0	-0.0	-0.2	-0.3	-0.2	-0.1
Exports	qoq%	-0.2	1.9	-1.4	-0.3	-0.1	-0.3	0.0	0.2	0.3	0.4	0.4	0.4	2.9	-0.8	1.0	1.6
Imports	qoq%	2.5	1.4	-0.1	-0.3	0.4	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.0	1.2	2.0	2.3
Nominal GDP	yoy%	5.3	5.4	4.2	3.9	3.3	1.2	1.4	0.9	1.2	1.8	2.5	2.9	4.7	1.7	2.1	3.3
Core CPI (ex fresh food)	yoy%	3.1	3.5	2.9	2.8	1.8	1.5	1.6	1.6	2.1	1.7	1.7	1.7	3.1	1.6	1.8	2.0
Core-core CPI (ex fresh food and energy	yoy%	2.7	3.2	3.2	3.0	2.5	1.9	1.7	1.5	1.6	1.8	1.8	1.9	3.0	1.9	1.8	2.0
Unemployment rate	%													2.5	2.7	2.6	2.5
Nominal agg. compensation	yoy%													3.7	2.8	3.6	4.2
Corporate savings rate	%GDP													3.5	2.5	0.5	-1.5
Household savings rate	%GDP													1.5	3.0	5.0	5.0
Fiscal balance	%GDP													-1.0	-2.5	-2.5	-1.5
Current account balance	%GDP													4.0	3.0	3.0	2.0
BoJ policy rate （current account intere	% （end)	0.50	0.50	0.50	0.75	0.75	0.75	0.75	1.00	1.00	1.25	1.50	1.75	0.50	1.00	1.75	2.25
10Y JGB yield	% （end)	1.35	1.40	1.65	1.80	2.20	2.35	2.40	2.50	2.50	2.55	2.60	2.65	1.80	2.50	2.65	2.70

As of May 1 2026
*IS balance items based on flow of funds data

Source: Cabinet Office, BoJ, MIAC, Bloomberg, Crédit Agricole CIB

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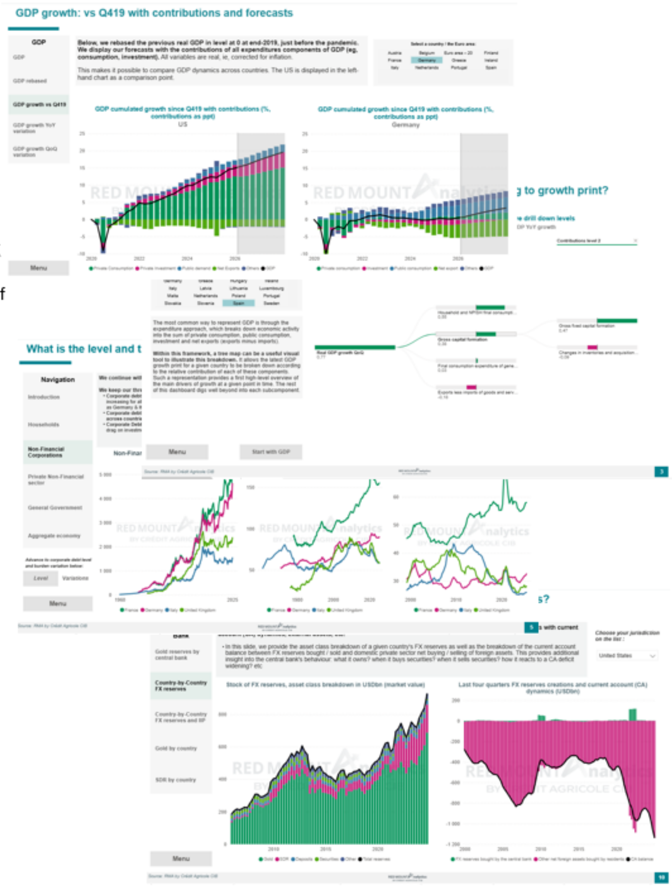

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